

Reputation Engine

Tap-to-review NFC cards + reputation protection, sold through a commission salesforce. A door-opener into small-business web & AI services.

Prepared July 2026 · Working title (avoid "Google" in the trademarked sense) · All figures illustrative, driven by the stated assumptions.

1. The one-paragraph version

A business tap-orders an NFC card for their counter. A customer taps it with their phone and lands on a branded page: "How was your visit?" Happy customers are sent straight to the business's public review page (Google, Yelp, Facebook). Unhappy customers are steered into a private feedback form that instantly texts and emails the owner, so the problem gets fixed before it becomes a public 1-star review. We sell the cards through independent sales reps, add an optional **\$15/month** reputation-protection subscription, and use every account as a warm lead for higher-ticket website and AI services.

\$50 CARD PRICE TO BUSINESS	\$15/mo AUTOPILOT SUBSCRIPTION	\$30 REP PROFIT / CARD	3 yr PROJECTION HORIZON
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2. Why it works (the mechanic)

Customer taps card (NFC, no app needed)

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yourdomain.com/t/{cardId} → server looks up the business + its live settings

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Branded page: "Thanks for visiting {Business}! How was your visit?"

↓

★★★★ 4-5 stars

★★★ 1-3 stars

↓

Sent to the business's
public review link
(Google / Yelp / FB)

↓

"We'd love to make it right" → quick private form
+ the public link is still shown (stays compliant)

↓

Instant SMS + email to the owner + logged for follow-up

The card is **written once** with a permanent URL. All routing lives on our server, so "activating" or re-pointing a card is a database change, not a physical re-program. That is what makes fulfillment near-instant and the model scalable.

Compliance is built in, not bolted on

Hard-blocking negative reviewers ("review gating") violates Google, Yelp, and FTC rules and can get a client's reviews wiped. Our design keeps the same business result while staying compliant: **everyone** is offered the public review link, but unhappy customers are given an easier private path they usually prefer, and the owner is alerted to fix it in real time. We market this as "catch unhappy customers before they go public," which is true and defensible.

What the product actually is

So there's no confusion about what we're selling: it's a small, premium review device the business keeps on the counter or window. A customer taps it with their phone (NFC) or scans the QR code, and it opens our review flow. Same technology, three common formats:



Acrylic counter stand



Wallet-size tap card



Window / door sticker

Fully customizable per business and per platform (Google, Yelp, Facebook). We show "feedback / review us" wording because everyone is routed through a quick feedback step first (compliant), then on to the public review - these are not review-gating "Google only" cards. Hardware cost is about \$2 regardless of format.

3. Three revenue streams

1. CARD SALES

The business pays **\$50** per card. The rep keeps **\$30**; we keep **\$20** (about **\$18** net after the ~\$2 card). Real margin, and the foot in the door.

2. AUTOPILOT (\$15/MO)

\$15/month reputation protection. The rep earns \$5/mo for the first 12 months; we net **\$8/mo** during that year, then **\$13/mo** after. The annuity that compounds.

3. UPSELL (THE PRIZE)

Every account is a paying, trusting SMB lead for **\$500 websites** and **\$199/mo** growth programs.

4. Who makes what (per sale)

Party	Card	Autopilot (\$15/mo, if taken)	Notes
Sales rep	+\$30	+\$5/mo × 12	Sells card at \$50, keeps \$30; earns \$5/mo for a year per subscriber
Company (us)	+\$18 net	+\$8/mo, then +\$13/mo	Real card margin; recurring is where it compounds
Business (client)	pays \$50	pays \$15/mo	More 5-star reviews; Autopilot catches unhappy customers privately

The rep is paid well on purpose. A rep selling 3 cards/day earns roughly **\$2,000/month** in card commissions (66 cards × \$30) plus growing residuals. A genuinely motivating number to recruit on. The company plays the long game: recurring Autopilot revenue and the service upsell.

5. Assumptions behind the projections

Assumption	Value	Assumption	Value
Card price to business	\$50	Autopilot attach rate	25%
Rep commission / card	\$30	Monthly churn	6%
Company net / card	\$18	Company net / sub (year 1)	\$8/mo
Autopilot price	\$15/mo	Company net / sub (after yr 1)	\$13/mo
Rep residual	\$5/mo × 12	Working days / month	22

Salesforce growth ramp modeled: from 3 reps up to **500 by month 12**, **~1,060 by month 24**, and **~1,420 by month 36**. This is an aggressive "everything works" recruiting curve - treat it as the ceiling, not a promise. Crucially, most of the compounding you'll see below comes from recurring Autopilot revenue stacking up, not just from adding reps.

6. How much money does the company make? (in plain English)

It answers one question: **if we hire salespeople and they sell cards, how much does the company make?** We now show it over **three years**, because this is a compounding business - year 2 dwarfs year 1, and year 3 dwarfs year 2.

Three things move the money:

- **How many salespeople we have.** Grows to 500 in year 1, ~1,060 in year 2, ~1,420 in year 3.
- **How many cards each sells per day.** Four "what if" cases: **1, 3, 5, or 10 a day.**
- **Where it compounds.** The card nets ~\$18. The real engine is **Autopilot (\$15/mo)** - we net \$8/mo per business in its first year, then \$13/mo after. Subscribers stack up faster than churn removes them, so the recurring base grows every single month.

How to read the table: pick a **row** (salesperson quality) and a **column** (end of year 1, 2, or 3). The number is the **total profit piled up by that point**.

Read one number with me: the **3-a-day** row at **End of Year 3** says **\$62.0M**. In plain words: if each rep sells 3 cards a day and the salesforce grows as above, by the end of year three the company has made about **\$62 million total** since day one - most of it recurring Autopilot payments stacking up.

Cumulative company profit	End of Year 1	End of Year 2	End of Year 3
1 sale / rep / day	\$802K	\$7.5M	\$20.7M
3 sales / rep / day base	\$2.4M	\$22.6M	\$62.0M
5 sales / rep / day	\$4.0M	\$37.7M	\$103.3M
10 sales / rep / day	\$8.0M	\$75.4M	\$206.6M

The table above is "money piled up so far." This next one is the **snapshot at each year-end** for the base case (3/day): how big the recurring machine has become - and these are the numbers that decide what the business is worth (see the Exit section).

Base case (3 / day)	End Year 1	End Year 2	End Year 3
Active Autopilot subscribers	23,214	137,690	249,561
Recurring revenue / mo (MRR)	\$348K	\$2.07M	\$3.74M
Annual recurring revenue (ARR)	\$4.2M	\$24.8M	\$44.9M

The one-sentence version: we make solid margin on the cards, but the real value is **Autopilot** - the \$15/month recurring line that stacks up. By year three the base case is throwing off about **\$3.7M every month** in recurring revenue (~\$45M/year), still growing, and mostly on autopilot.

Reminder: these assume the salesforce keeps growing (recruiting is the hard part, not the tech) and are the model's ceiling. Even a fraction of this builds a serious recurring business - and the Exit section shows exactly what that recurring revenue is worth.

7. The middle case, month by month

Same realistic case (3 cards a day), year 1 broken out month by month so you can see the shape. Watch the last money columns: early on **card profit** leads, but **Autopilot profit** keeps growing and, across years 2-3, takes over entirely.

Mo	Reps	Cards	New subs	Active subs	Card profit	Autopilot profit	Co. profit	Cumulative
1	3	198	50	50	\$3,564	\$396	\$3,960	\$3,960
2	6	396	99	146	\$7,128	\$1,164	\$8,292	\$12,252
3	15	990	248	384	\$17,820	\$3,074	\$20,894	\$33,147
4	20	1,320	330	691	\$23,760	\$5,530	\$29,290	\$62,437
5	30	1,980	495	1,145	\$35,640	\$9,158	\$44,798	\$107,235
6	50	3,300	825	1,901	\$59,400	\$15,209	\$74,609	\$181,843
7	70	4,620	1,155	2,942	\$83,160	\$23,536	\$106,696	\$288,539
8	100	6,600	1,650	4,415	\$118,800	\$35,324	\$154,124	\$442,663
9	150	9,900	2,475	6,626	\$178,200	\$53,005	\$231,205	\$673,868
10	250	16,500	4,125	10,353	\$297,000	\$82,824	\$379,824	\$1,053,692
11	375	24,750	6,188	15,919	\$445,500	\$127,355	\$572,855	\$1,626,547
12	500	33,000	8,250	23,214	\$594,000	\$185,714	\$779,714	\$2,406,260

Notice the shape: **card profit leads, Autopilot profit compounds**. By month 12 the recurring line (\$186K/mo) is already ~3× the card line - and it keeps compounding hard into years 2-3, even if rep growth slows.

8. "What if we're wrong?" (the two numbers that matter)

Two things decide the long-term size: **attach rate** (what % of businesses take Autopilot?) and **churn** (how many cancel each month?). In year 1 the card sale dominates, so the total barely moves - but attach is what sets the **size of the recurring base** that compounds in years 2-3 and drives the exit value. Year-1 total profit (base 3/day):

Attach → / Churn ↓	15% attach	25% attach	40% attach
4% churn	\$2.20M	\$2.42M	\$2.76M
6% churn base	\$2.19M	\$2.41M	\$2.73M
10% churn	\$2.17M	\$2.37M	\$2.68M

Year 1 is **robust** - even at low attach and high churn it clears \$2.1M, because card margin carries it. But don't be fooled by how close those numbers look: attach and churn barely touch year 1, yet they **multiply** across years 2-3, when the recurring base compounds. The single highest-leverage thing to optimize is the pitch that turns a card buyer into an **Autopilot** subscriber - a landing-page and script problem, not an engineering one.

9. The real prize: the service upsell

The cards and Autopilot are a customer-acquisition machine for the actual business: **done-for-you websites and AI/growth services**. Every active account is an SMB that already pays you monthly and has seen your product work.

Illustration (base case, year 3 = ~250,000 active accounts): convert just **3%** to a \$500 website build = **~7,500 builds × \$500 = ~\$3.7M** one-time. Convert **2%** to a \$199/mo growth program = **~5,000 clients × \$199 = ~\$1.0M/month** in additional recurring revenue on top of Autopilot. This is where the card business stops being a card business.

10. Exit strategy: what is it worth in 3 years?

This is built to be sold. It's a **recurring-revenue** business with high margins, a light operation (software runs itself; we just ship cards), and a sticky product (a business rarely cancels its reputation protection). Buyers pay premium multiples for exactly that profile.

How these businesses are valued

Recurring-revenue and digital businesses are priced off their **recurring revenue** or **profit**, not last year's sales:

- **Multiple of ARR** (annual recurring revenue): typically **3x-6x** for profitable, growing recurring businesses
 - higher when growth is fast and churn is low.

- **Multiple of annual profit** (SDE / EBITDA): recurring, low-effort digital businesses commonly fetch **4x-8x**.

The durable takeaway: **every \$1M of ARR you build is worth roughly \$3M-\$6M at exit**. So the whole game is stacking Autopilot subscribers.

What the base case implies

Base case (3/day), end of year 3: ~**250,000** active Autopilot subscribers, ~**\$3.7M/month** recurring = ~**\$45M ARR**, and a recurring-profit run-rate near **\$28M/year**.

Valuation method	Conservative	Mid	Aggressive
Multiple of ARR (\$45M)	3x = \$135M	4x = \$180M	6x = \$270M
Multiple of profit (\$28M/yr)	4x = \$112M	5x = \$140M	8x = \$224M

Both methods land in the same **\$110M-\$270M** range - that's the base-case ceiling if the full growth curve plays out.

Reality check - value scales with what you actually build. The headline assumes the entire growth curve. The honest way to hold it: **value tracks ARR at ~3-6x**, whatever ARR you reach.

If you reach...	Exit value (3-6x ARR)
\$5M ARR (a modest outcome)	\$15M - \$30M
\$15M ARR	\$45M - \$90M
\$45M ARR (base-case year 3)	\$135M - \$270M

Even a **fraction** of the plan - one-tenth the subscribers - is still an eight-figure exit, and the operation stays simple the whole way: recurring software revenue with cards in the mail. That combination (recurring, high-margin, low-complexity) is what makes it genuinely acquirable - by a reviews/marketing SaaS, an SMB-services roll-up, or private equity.

11. Honest risks & caveats

- **The rep ramp is the dream, not the plan.** Getting to 500 productive reps in 12 months is a recruiting and management challenge bigger than the tech. Recruiting, training, churn of reps, and payout logistics are the real bottleneck. The tech is the easy 20%.

- **Attach rate is unproven.** 25% is our assumption; even 15% still builds a strong business (see sensitivity), and it is the lever that drives the 3-year value. Pilot it before betting on it.
 - **Platform policy risk** if anyone runs the non-compliant gated version. Enforce feedback-first in the product so a rogue reseller can't turn it into gating.
 - **Keep the reps winning.** Card margin is healthy at \$50 (\$18 to us, \$30 to the rep) - don't squeeze the rep's \$30, because their motivation is what drives volume.
 - **Support & fulfillment scale with card volume.** Budget for it (baked into the \$2/sub infra assumption, but validate at scale).
 - **Reps' residual ends after 12 months** per account (after which that subscriber becomes more profitable to us, \$13/mo). Fine for hunters, but plan a small trailing commission later if you want reps retaining clients.
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12. Recommended first moves

1. Build the **Phase 1 demo** (tap → rate → route → SMS the owner). One working card you can tap in front of a business owner sells the whole thing.
 2. Run a **10-business pilot** with 1-3 reps. Measure the two numbers that matter: subscription **attach rate** and 30-day **retention**.
 3. Nail the **subscription pitch** on the landing/checkout page - this is the highest-leverage dollar in the whole model.
 4. Only then **scale rep recruiting**. The financials follow the salesforce, and the salesforce follows a proven, easy-to-sell pilot.
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Reputation Engine · Business & Financial Model · All projections are illustrative and depend entirely on the stated assumptions (attach rate, churn, and salesforce ramp). Adjust the model inputs to pressure-test. Companion document: **Reputation Engine - Technical Specification** (developer handoff).